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Amending Acts

1. Some Nepal Acts Amendment Act, 2075 2075.11.19
2. Act to Amend Some Nepal Acts Relating to Good Governance Promotion and Public Service Delivery, 2081 2081.12.18
3. Some Nepal Acts Amendment Act, 2082 2082.04.14

Act Number 14 of the year 2074

An Act Made to Amend and Consolidate Laws relating to Labour

Preamble: Whereas, it is expedient to amend and consolidate laws relating to labour to make provisions for the rights, interests and facilities of workers, to develop good labour relations by making clear provisions for the rights and duties of workers and employers, to end all forms of labour exploitation and increase productivity,

Now, therefore, the Legislature-Parliament, in pursuance of Sub-article (1) of Article 296 of the Constitution of Nepal, has enacted this Act. Chapter - 1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Labour Act, 2074".
- (2) This Act shall come into force immediately.
2. Definitions: Unless the subject or context otherwise requires, in this Act,-
 - (a) "Basic Remuneration" means the basic remuneration a worker receives in return for employment, and the term also includes the amount of annual increment after completion of one year of service.
 - (b) "Chief Executive" means a person who bears ultimate responsibility concerning the work and operations of an establishment.
 - (c) "Workplace" means the place or site where a worker works, and the term also includes the place or condition in which a worker must stay or go to in the course of work.
 - (d) Amended by Some Nepal Acts Amendment Act, 2075. "Office" means the Labour and Employment Office.
 - (e) "Lockout" means a situation where an employer closes an establishment or workplace to prevent workers from fully or partially performing their regular work.

Provided that this term shall not denote a situation where a worker is kept on standby or work is stopped due to an imminent danger.

- (f) "Prescribed or as Prescribed" means as prescribed in or according to rules made under this Act, and the term also includes a notification published in the Nepal Gazette as mentioned in this Act or rules made under

this Act.

(g) "Inspector" means a Senior Labour Inspector, Labour Inspector, Senior Occupational Safety and Health Inspector, and Occupational Safety and Health Inspector, and the term also includes other employees deputed for inspection.

(h) "Council" means the Central Labour Advisory Council formed pursuant to Section 102.

(i) "Remuneration" means the basic remuneration a worker receives, and the term also includes allowances.

(j) "Establishment" means any company, private firm, partnership firm, cooperative society or association or other institution established, incorporated, registered or formed or operating according to prevailing law with the objective of conducting industry, business or service, whether for profit or not.

(k) "Ministry" means the Ministry of Amended by Some Nepal Acts Amendment Act, 2075. Labour, Employment and Social Security, Government of Nepal.

(l) "Principal Employer" means an employer who engages workers through a worker supplier.

(m) "Employer" means a person or establishment that engages a worker for work, and the term also, in the case of an establishment, includes the manager, and, in the case of workers supplied under this Act, includes the worker supplier.

(n) "Employment Contract" means an agreement made between an employer and a worker concerning the service, conditions and facilities of employment, and the term also includes the appointment letter given by the employer to the worker.

(o) "Period of Employment" means the period during which a worker has been employed with an employer, and the term also includes the following periods:-

(1) Period of being on standby,

(2) Period of leave with remuneration,

(3) Period of leave without pay for maternity or puerperal care,

(4) Period of leave during treatment due to an accident occurring while performing work for the employer or in the course thereof.

(p) "Regulation" means the regulation relating to service conditions of workers made by an establishment pursuant to Section 108, and the term also includes the Financial Administration Regulation of the establishment.

(q) "Department" means the Amended by Some Nepal Acts Amendment Act, 2075.

Department of Labour and Occupational Safety.

(r) "Manager" means the chief executive of an establishment, and the term also includes the head of any branch or unit appointed with ultimate responsibility or exercising authority.

(s) "Worker of Managerial Category" means a worker who has been appointed to a managerial level or higher position with the authority to evaluate, control and supervise the work of workers on behalf of the employer, and the term also includes the manager.

(t) "Social Security Fund" means the Social Security Fund established according to prevailing law.

(u) "Collective Agreement" means an agreement made between an employer or an organisation of employers and a trade union or collective bargaining committee concerning the remuneration, service conditions, facilities of workers or matters of mutual concern between the employer and workers.

(v) "Collective Bargaining Committee" means the collective bargaining committee pursuant to Sub-section (1) of Section 116.

(w) "Labour Court" means the Labour Court formed pursuant to Section 151.

(x) "Worker" means a labourer or employee who performs physical or intellectual work for an employer for remuneration, or a person engaged for work under any designation whatsoever.

(y) "Worker Supplier" means a person or institution licensed to supply workers pursuant to Chapter - 11.

(z) "Strike" means a situation where workers collectively reject, fully or partially, performing work they have been regularly performing. Provided that being on leave, stopping work due to an imminent danger, being unable to attend work or incapable of working due to circumstances beyond the control of workers shall not be considered a strike. Chapter - 2

Basic Provisions Relating to Workers

3. To Remain as Minimum Standards: (1) This Act shall remain as minimum standards in matters related to workers and workers.

(2) If an employment contract is made between an employer and a worker for receiving or giving remuneration or facilities less than those mentioned in this Act or rules made under this Act, or in a manner contrary to the conditions mentioned in this Act, such employment contract shall be deemed to be contrary to this Act, and to that extent, such employment contract shall be void. 4.

Not to be Put to Forced Labour: (1) No worker shall be put, directly or indirectly, to forced labour. (2) Notwithstanding anything contained in Sub-section (1), the following work or service performed by a worker shall not be considered forced labour:- (a) Work or service required to be performed under the duties of a citizen when the nation requires, (b) Work or service required to be performed as punishment pursuant to a decision or order of a court, (c) Work or service required to be performed as a member of a community for the benefit of that community. Explanation: For the purpose of this Section, "Forced Labour" means the act of making a worker perform any work or service against their will by showing fear of any kind of economic, physical or mental action if the worker does not perform any work or service. 5. Not to Engage Children in Work: No person shall engage a child in any work contrary to law. 6. Not to Discriminate: (1) An employer shall not discriminate against a worker on the basis of religion, colour, gender, caste, ethnicity, origin, language or ideological conviction or any other similar basis. (2) Notwithstanding anything contained in Sub-section (1), the following actions shall not be considered discrimination:- (a) Giving priority in employment to a person based on the inherent requirement of the work or service, (b) Engaging a pregnant worker in convenient and appropriate work or service according to her physical condition without deducting remuneration and facilities, or (c) Giving priority to a worker with physical disability in work responsibilities suited to their physical condition. 7. No Discrimination in Remuneration for Equal Work: (1) There shall be no discrimination in remuneration for work of equal value between workers on the basis of gender. (2) For the purpose of Sub-section (1), whether work is of equal value shall be determined based on the nature of the work concerned, the time and effort required to perform the work, skill, and the output obtained from the work.

8. Rights Relating to Trade Unions: (1) Subject to this Act and other laws, every worker shall have the right to form, operate, become a member of or affiliate with a trade union, or engage in other activities relating to trade unions. (2) While exercising labour rights according to this Act and other laws, a worker must be dutiful and responsible towards the employer. 9. May Obtain Remedy: If any right provided to a worker pursuant to this Act and other laws is violated, such worker may obtain remedy according to this Act and other laws. Chapter - 3 Provisions Relating to Employment 10.

Chapter - 3 Provisions Relating to Employment 10.

Types of Employment: (1) An employer may engage a worker in any of the following types of employment:- (a) Regular Employment, (b) Work-based Employment, (c) Time-based Employment, (d) Casual Employment, (e) Part-time Employment. Explanation: For the purpose of this Section,- (1) "Regular Employment" means any type of employment other than those mentioned in clauses (b), (c) and (d). (2) "Work-based Employment" means employment given by an employer by specifying a particular work or service to be completed. (3) "Time-based Employment" means employment given by an employer by fixing a

specific period for providing a service or completing work within that period. (4) "Casual Employment" means employment given by an employer for providing a service or completing work for a period of seven days or less within a period of one month. (5) "Part-time Employment" means employment given for completing work within thirty-five hours or less per week. (2) If a question arises as to whether any employment is regular or not, notwithstanding anything mentioned in the employment contract, it shall be determined as prescribed based on the nature of the work. 11. Not to Engage in Work Without an Employment Contract: (1) An employer shall not engage a person in work without an employment contract. (2) Notwithstanding anything contained in Sub-section (1), it shall not be necessary to make a written employment contract for casual employment. (3) While making an employment contract pursuant to Sub-section (1), such contract must mention the remuneration, facilities, conditions of employment and other prescribed matters that the worker is entitled to. 12.

Establishment of Employment Relationship: (1) An employment relationship shall be established between an employer and a worker from the date or time the employer makes an employment contract with the worker, or provides employment orally, or, in the case of casual employment, from when the worker starts work or provides service. (2) If a dispute arises as to whether an employment relationship has been established between an employer and a worker, the Office shall resolve such dispute. (3) If a dispute falling under Sub-section (2) is also involved in any matter pending before the Department or court pursuant to this Act, the Department or court shall also resolve such dispute. (4) For the purpose of Sub-section (2), the Office may order the employer to submit any evidence or record relating to employment in their possession, and if the employer fails to submit evidence or record according to such order, the employment relationship between the employer and worker shall be deemed to have been established. 13. Provision Relating to Probation Period: When making an employment contract with a worker, the employer may place the worker on a probation period of six months, and if the worker's work during the probation period is not found satisfactory, the employer may terminate the employment contract with such worker. If the employment contract is not so terminated, the employment relationship shall be deemed to be automatically confirmed upon the expiry of the probation period of the worker. 14. Employment Relationship to Remain Even After Change of Ownership: (1) If the ownership of an employer's work or business, or any part thereof, is changed or transferred according to law, or if the operation of such work or business is given to someone else, or if two or more establishments or businesses merge to create a new establishment or business, the employment relationship of the worker working in the work or business whose ownership has been changed or transferred, or given to someone else for operation, or in the merged establishment or business, shall remain subsisting. (2) For the purpose of Sub-section (1), the liability under this Act or rules made under this Act, or under a collective agreement if any, shall be borne by the employer or establishment that takes ownership, receives by transfer, takes responsibility for operating the work or business, or, in case of merger, the new establishment or business resulting from the merger, or, if ownership and liability of a project is transferred pursuant to prevailing law relating to private investment in infrastructure construction and operation, the establishment taking over such ownership and liability.

Provided that if there is any agreement relating to interim management among the previous employer, the new employer and the union of the concerned establishment, the provision of that agreement shall apply. 15. Employment Relationship to Remain During Standby Period: (1) If any special circumstance arises at the workplace, the employer may suspend work and keep the worker on standby. Explanation: For the purpose of this Section, "Special Circumstance" means a situation where there is a lack of electricity, water, raw materials or financial resources, or due to any circumstance beyond control, it is impossible to reach the workplace or work or operate the workplace.

(2) When a worker is on standby pursuant to Sub-section (1), the employment relationship between such worker and the employer shall remain subsisting.

(3) An employer with ten or more workers may keep workers on standby pursuant to Sub-section (1) for up to fifteen days, but if it is necessary to keep them on standby for a longer period, consultation must be held with the authorised trade union or the labour relations committee.

(4) Other provisions relating to keeping workers on standby shall be as prescribed. Chapter - 4
Provisions Relating to Trainees and Apprentices

16. May Engage Apprentices for Work: (1) An establishment may, by making an agreement with an educational institution, engage a person as an apprentice for work according to the approved curriculum of such institution.

(2) An apprentice pursuant to Sub-section (1) shall not be considered a worker for the purpose of this Act. Provided that if engaged in work contrary to the approved curriculum, such person shall be deemed a worker in regular employment. 17. Provisions Relating to Workers to Apply: (1) Notwithstanding anything contained in Section 16, while engaging an apprentice for work pursuant to this Chapter, the apprentice shall not be engaged for work exceeding eight hours daily and forty-eight hours weekly.

(2) Provisions relating to occupational health and safety shall apply to an apprentice as if they were a worker.

(3) If an apprentice meets with an accident while performing training work, the establishment shall arrange for treatment for such apprentice as if they were a worker, and if disabled, shall provide compensation as per this Act, except where otherwise agreed between the establishment and the educational institution.

(4) Matters other than those mentioned in Sub-sections (1), (2) and (3) shall be as mentioned in the agreement made between the concerned educational institution and establishment. 18. May Engage as Trainee Worker: (1) An employer may engage a person for work by providing training while teaching the work.

(2) The training period pursuant to Sub-section (1) shall not exceed one year.

Provided that if any period is prescribed by prevailing law for specific job training, or if a specific period is necessary, the person may be engaged as a trainee for that period. (3) The employer must provide a person engaged as a trainee pursuant to this Section with at least minimum remuneration, sick leave, and facilities ensuring no reduction in social security including gratuity, provident fund, insurance. (4) After the completion of the training period, the employer shall not be obligated to retain the trainee in work. Provided that if the same employer retains such trainee in work, the probation period shall not apply to them. Chapter - 5

Provisions Relating to Part-time Workers 19. May Engage for Part-time Work: (1) An employer may engage a worker for part-time work. Provided that a full-time worker shall not be engaged in part-time work without their consent. (2) The remuneration of a part-time worker shall generally be determined based on working hours or based on the employment contract made between the parties. (3) While determining the remuneration of a part-time worker pursuant to Sub-section (2), it shall be determined based on at least the monthly remuneration of a full-time worker at the same level engaged in work of a similar nature. (4) If a worker engaged for part-time work pursuant to this Section is engaged for overtime work, they shall be paid one and a half times the remuneration they would receive pursuant to Sub-section (2) for such overtime work. 20. Not to Prohibit Working Elsewhere: A part-time worker shall not be prohibited from working elsewhere. 21.

Provision Relating to Social Security: In the case of a worker working part-time for more than one employer, each employer for whom such worker works shall contribute towards gratuity, provident fund or other facilities relating to social security based on the basic remuneration such worker receives. Chapter - 6 Provisions Relating to Labour Permits 22. Not to Engage Foreign Nationals in Work: (1) An employer shall not engage any foreign national as a worker without a labour permit from the Department. (2) Notwithstanding anything

contained in Sub-section (1), an employer may, subject to this Section, engage a foreign worker if the skilled workers required cannot be supplied by Nepali citizens. (3) Before appointing a foreign worker pursuant to Sub-section (2), the employer must publish an advertisement in a national daily newspaper to obtain the required skilled workers from Nepali citizens.

If applications are not received from Nepali citizens as prescribed, or if no Nepali citizen can be selected despite such advertisement, the employer may apply to the Department for a labour permit to engage a foreign worker, along with evidence thereof. Amended by Some Nepal Acts Amendment Act, 2075. Provided that in the case of foreign nationals coming to work as technicians or experts pursuant to this Act on matters mentioned in investment agreements made by various ministries, departments, the Investment Board, and councils, institutions or other official bodies fully or partially owned by the Government of Nepal with the approval of the Government of Nepal or the concerned ministry, it shall not be necessary to publish an advertisement.

(4) The Department may, after examining the application and the evidence attached therewith received pursuant to Sub-section (3), grant a labour permit permitting the engagement of a skilled foreign worker if deemed appropriate.

(5) An employer who engages a foreign worker having obtained a permit pursuant to Sub-section (4) must make arrangements to gradually replace the foreign worker by training Nepali citizens.

(6) Fees relating to labour permits and other provisions shall be as prescribed. 23. Foreign National Must Obtain Work Approval to Work in Nepal: (1) A foreign worker must obtain work approval as prescribed to work in Nepal.

(2) Notwithstanding anything contained elsewhere in this Act, a foreign national working in Nepal must obtain work approval as prescribed, except for those enjoying diplomatic immunity or those not required to obtain work approval under any treaty or agreement with the Government of Nepal. 24. Labour Permit May be Granted: Notwithstanding anything contained in Sections 22 and 23, the Department may, by maintaining records, grant a labour permit to foreign nationals in the following circumstances:-

(a) The chief executive of an establishment with foreign investment or operated through foreign aid, and the prescribed number of workers working in that establishment,

(b) Technicians coming for a period of three months or less to repair machinery or equipment, install new technology, or perform other similar casual work. 25. Language of Contract: When making an employment contract with a foreign worker, the employer shall provide the information regarding the work to be performed by such worker, their service, conditions and facilities in a language understood by the worker or in the English language. 26. May Take Remuneration in Convertible Foreign Currency: A foreign worker who has obtained a labour permit pursuant to this Chapter may take the remuneration amount received from working in Nepal to their home country in convertible foreign currency. 27.

Remuneration, Service Conditions and Facilities of Foreign Workers and Other Provisions: (1) The remuneration, service conditions and facilities that a foreign worker receives for performing work shall be as mentioned in the time-based or work-based employment contract made between the employer and the worker, provided they are not less than the standards determined by this Act or rules made under this Act. (2) If a time period is mentioned in the employment contract, it shall be according to that, and if not, such employment contract shall remain valid for up to three years. (3) Other provisions relating to foreign workers shall be as prescribed. Chapter - 7 Provisions Relating to Working Hours 28. Working Hours: (1) An employer shall not engage a worker for more than eight hours per day and forty-eight hours per week. (2) After a worker has worked continuously for five hours, a rest period of half an hour must be provided. (3) If work cannot be interrupted and must be carried on continuously, such rest period shall be provided to workers in

rotation. (4) The rest period provided pursuant to Sub-sections (2) and (3) shall be counted within the working hours pursuant to Sub-section (1). 29. Not to Compel Overtime Work: (1) An employer shall not compel a worker to work for more than the time mentioned in Sub-section (1) of Section 28. (2) Notwithstanding anything contained in Sub-section (1), if non-completion of any work could adversely affect someone's life, safety or health, or cause serious loss or damage to the employer, the concerned worker may be engaged in additional work subject to Sub-section (1) of Section 30. 30. Provision Relating to Engaging Overtime Work: (1) If an employer needs to engage a worker for more than the working hours determined under Section 28, the worker may be engaged for not more than four hours per day and twenty-four hours per week. (2) Work engaged by an employer without providing compensatory leave pursuant to Section 42 shall be considered overtime work. 31.

Additional Remuneration Must be Paid: (1) When engaging a worker for overtime work pursuant to Section 30, the employer must pay one and a half times the basic remuneration received for regular work. (2) Notwithstanding anything contained in Sub-section (1), nothing in this Section shall be deemed to prevent a collective agreement from making provision for receiving certain facilities in lieu of additional remuneration for overtime work, or, in the case of a worker of managerial category, providing facilities as mentioned in the employment contract. 32. Determination of Working Hours: (1) The time for starting and finishing work for a worker shall be as mentioned in the employment contract, and if not mentioned, as determined by the employer. (2) Other provisions relating to working hours shall be as prescribed. 33. Must Arrange Transportation: When engaging a female worker such that the working period starts or ends after sunset or before sunrise, the employer must make necessary arrangements for transportation to and from the workplace. Chapter - 8 Provisions Relating to Remuneration 34. Worker to Receive Remuneration: (1) Every worker shall receive remuneration and facilities from the date of starting work. (2) The remuneration and facilities a worker receives shall be as mentioned in the employment contract, provided they are not less than those prescribed in this Act or rules made under this Act. (3) Except in circumstances mentioned in a collective agreement between the employer and workers, the remuneration and facilities a worker has been receiving shall not be reduced. 35. Payment of Remuneration: (1) When paying remuneration to a worker, the employer shall do so as mentioned in the employment contract, and if not mentioned, at the time determined by the employer. Provided that the following workers shall be paid remuneration as follows:- (a) A worker working for a period of less than one month shall be paid within three days from the date of completion of work, and (b) A worker engaged in casual work shall be paid immediately upon completion of work. (2) Notwithstanding anything contained in Sub-section (1), the interval between times for payment of remuneration shall not exceed one month. 36. To Receive Annual Increment: A worker who has completed one year of service shall receive an annual increment each year of an amount equal to at least half a day's remuneration of the monthly basic remuneration. 37.

38. Not to Deduct Remuneration: (1) Except in the following circumstances, the remuneration receivable by a worker shall not be deducted:-

- (a) Any tax, fee leviable according to law,
- (b) Contribution amount payable for provident fund or insurance or any other social security contribution,
- (c) Amount required to be deducted pursuant to an order or decision of any judicial or quasi-judicial body or arbitration,
- (d) Prescribed amount in lieu of prescribed service or facility provided by the employer to the worker,
- (e) Remuneration amount for the period injured at work,
- (f) If cash or goods of the employer are damaged or lost due to bad faith or negligence, the amount of such cash or goods as per records, or in the case of production value, an amount equal to the production cost,

(g) Amount mentioned in a collective agreement as deductible from remuneration,

(h) Membership fee charged by a trade union,

(i) Loan or advance amount provided by the employer to the worker.

(2) When deducting an amount pursuant to clauses (c), (d), (e), (f), (g), (h) or (i) of Sub-section (1), it shall be deducted from the monthly remuneration remaining after deducting the amounts mentioned in clauses (a) and (b) of the same sub-section.

(3) The limit, method and other provisions relating to the amount deductible pursuant to Sub-section (2) shall be as prescribed.

(4) If a worker dies or ceases to be in service for any reason before deducting the amount required to be deducted pursuant to this Section, such amount may be deducted from any amount receivable by the worker.

(5) If the amount required to be deducted cannot be recovered even after deduction pursuant to Sub-section (4), the employer shall give a fifteen-day notice to the legal heir of the deceased worker according to law to deposit such amount.

(6) If the amount is not deposited even within the period pursuant to Sub-section (5), the employer may file a petition before the court for recovery of such amount within thirty-five days from the date of expiry of that period.

39. Remuneration During Standby Period: If a worker is kept on standby according to this Act, the employer shall pay half the amount of remuneration the worker would receive until work resumes. Provided that, unless mentioned in the notice regarding being kept on standby that attendance is required, such worker shall not be required to be present at the workplace during that period.

Chapter - 9 Provisions Relating to Leave

40. Weekly Holiday: A worker shall receive one day of weekly holiday each week.

41. Public Holiday: (1) Each worker shall receive thirteen days of public holiday with pay each year including May Day, and in the case of a female worker, fourteen days including International Working Women's Day. (2) Notwithstanding anything contained in Sub-section (1), if the body regulating an establishment determines public holidays, it shall be as determined by such body for that establishment, and in other cases, as determined by the employer. 42. Compensatory Leave: (1) A worker engaged in work that cannot be stopped or must be performed continuously shall receive compensatory leave for working on a weekly holiday or public holiday. (2) Compensatory leave must be given within twenty-one days from the date a worker was engaged in work on a weekly holiday or public holiday. 43. Home Leave: (1) A worker shall receive home leave with pay at the rate of one day for every twenty days of the period worked. (2) A worker working in an educational institution or a worker who receives summer or winter vacation shall not receive home leave. Provided that if such vacation is less than the home leave period, the worker shall receive home leave for the number of days the vacation is shorter. 44. Sick Leave: (1) A worker shall receive twelve days of sick leave with pay annually. Provided that a worker working for one year or less shall receive sick leave in the same proportion. (2) A worker requesting sick leave for more than three consecutive days must submit a certificate from a registered medical practitioner. (3) If a worker has to take leave due to sudden illness, they shall inform the employer or the person designated by the employer as soon as possible by available means.

45. Maternity Leave: (1) A pregnant female worker shall receive fourteen weeks of maternity leave before or after delivery. (2) A pregnant worker must compulsorily take leave from at least two weeks before the expected date of delivery until at least six weeks after delivery. (3) A female worker taking maternity leave pursuant to Sub-section (1) shall receive full remuneration for sixty days and shall not receive remuneration for the remaining period. (4) If a registered medical practitioner recommends additional rest for the health of the female worker who has given birth or her infant, the employer shall approve leave without pay for up to an

additional one month continuously with the maternity leave, or grant leave adjusted with other leave. (5) If a female worker with a pregnancy of seven months or more has a stillbirth or miscarriage, she shall receive leave equivalent to maternity leave. (6) If the mother dies within sixty days of childbirth, the worker whose wife has died may take leave with pay for the remaining period from his employing employer for childcare. (7) If a male worker's wife is about to give birth, he shall receive fifteen days of paternity care leave with pay. 46. Must Submit Birth Registration Certificate: A female worker who has taken maternity leave, except in the case of death of the newborn, must submit a copy of the birth registration certificate as prescribed to the employer. 47. Not Required to Pay Remuneration: Notwithstanding anything contained elsewhere in this Chapter, if provision is made for a female worker to receive remuneration for the maternity leave period from the Social Security Fund, the employer shall not be required to pay remuneration to the worker for such leave period pursuant to this Chapter to that extent. 48. Mourning Leave: (1) A worker shall receive thirteen days of mourning leave upon the death of a spouse, or if the worker themselves is required to observe mourning according to their religion, or if a married female worker is required to observe mourning upon the death of her parents or parents-in-law. (2) A worker taking mourning leave pursuant to Sub-section (1) shall receive full remuneration. 49.

Leave Accumulation: (1) A worker may accumulate home leave up to ninety days and sick leave up to forty-five days. (2) If a worker ceases to be in service for any reason, or upon their death, the worker or their family member as prescribed shall receive a lump sum amount calculated at the rate of the last basic remuneration the worker was receiving for the accumulated home leave and sick leave. (3) A worker accumulating leave beyond the period mentioned in Sub-section (1) shall receive, at the end of each year, an amount calculated at the rate of the worker's basic remuneration for such excess leave period. 50. Calculation of Year: For the purpose of calculating a year for leave, it shall be calculated based on the following:- (a) If determined by law, according to that, (b) If determined by the regulatory body, according to that, (c) If not determined as per clause (a) or (b), as mentioned in the employment contract, and (d) If not determined as per clauses (a), (b) and (c), according to the fiscal year of the Government of Nepal. 51. Leave is Not a Right: (1) Leave other than sick leave, mourning leave, and maternity leave receivable by a worker pursuant to this Chapter are only concessions and cannot be claimed as a matter of right. (2) The employer may refuse, postpone, deduct or change the time of approved leave for leaves other than those mentioned in Sub-section (1) requested by the worker, stating reasons, based on the needs of the workplace work. Chapter - 10 Provisions Relating to Provident Fund, Gratuity and Insurance 52.

Must Deposit Provident Fund Amount: (1) The employer shall deduct ten percent from the basic remuneration of each worker and add an equal amount of one hundred percent and deposit the amount as the provident fund amount. (2) The employer shall deposit the amount pursuant to Sub-section (1) in the Social Security Fund in the name of the concerned worker, effective from the day the worker starts work. (3) Notwithstanding anything contained in Sub-section (2), in the following circumstances, the employer shall deposit such provident fund amount as prescribed:- (a) Until the Social Security Fund is established and becomes operational, or (b) Until the law relating to the Social Security Fund becomes applicable to the concerned employer. (4) In the case of a worker for whom provident fund amount was not deposited before the commencement of this Act, the employer shall deposit the provident fund amount from the date of commencement of this Act. (5) The provident fund amount accumulated in a retirement fund or any other similar fund established according to prevailing law at the time of commencement of this Act, or in the custody of the employer, shall be transferred to the Social Security Fund as prescribed after the commencement of this Act. (6) Notwithstanding anything contained elsewhere in this Section, if for any reason it is not possible to deposit the provident fund amount pursuant to Sub-section (2) or (3), the employer

shall add ten percent of the basic remuneration of such worker and pay it. 53.

To Receive Gratuity: (1) The employer shall deposit an amount equal to eight point thirty-three percent of the basic remuneration of each worker each month as gratuity. (2) The employer shall deposit the amount pursuant to Sub-section (1) in the Social Security Fund in the name of the concerned worker, effective from the day the worker starts work. (3) Notwithstanding anything contained in Sub-section (2), in the following circumstances, the employer shall deposit such gratuity amount as prescribed:- (a) Until the Social Security Fund is established and becomes operational, or (b) Until the law relating to the Social Security Fund becomes applicable to the concerned employer. (4) In the case of a worker who was not required to be paid gratuity before the commencement of this Act, the employer shall pay gratuity pursuant to Sub-section (1) from the date of commencement of this Act. (5) The gratuity amount accumulated in a retirement fund or any other similar fund established according to law at the time of commencement of this Act, or in the custody of the employer, shall be transferred to the Social Security Fund as prescribed after the commencement of this Act. (6) Notwithstanding anything contained elsewhere in this Section, if for any reason it is not possible to deposit the gratuity amount pursuant to Sub-section (2) or (3), the employer shall add eight point thirty-three percent of the basic remuneration of such worker and pay it to the worker. Omitted by Some Nepal Acts Amendment Act, 2075.(7) 54. Must Arrange Medical Treatment Insurance: (1) The employer must arrange medical treatment insurance for each worker of at least one hundred thousand rupees annually. (2) The insurance premium for (5) If any labour supplier fails to comply with the conditions and instructions prescribed under this Act and the rules made under this Act, the Department or the Office may suspend the license of such labour supplier as prescribed. (6) If any labour supplier fails to comply with the conditions and instructions prescribed under this Act and the rules made under this Act, the Department or the Office may impose a fine of up to twenty-five thousand rupees on such labour supplier for the first time. 63.

If such entity is not cancelled or dissolved and is carrying out other activities, the Office shall order the payment of remuneration and other facilities from the other assets of such entity. 64. Liability of principal employer: (1) When employing workers through a licensed labour supplier, the principal employer shall employ them on the basis of an agreement made with such supplier.

(2) Before making an agreement, the principal employer shall ensure arrangements to provide remuneration and facilities not less than those prescribed under this Act or the rules made under this Act, and shall then make the agreement.

(3) The principal employer shall regularly obtain information as to whether or not the labour supplier regularly provides remuneration and facilities to the workers employed through the labour supplier.

(4) If, upon obtaining information pursuant to Subsection (3), it is found that the labour supplier has not provided remuneration and facilities to the worker, the principal employer shall immediately request the labour supplier to provide such remuneration and facilities, and shall also inform the Department or the Office thereof.

(5) If, despite a request made pursuant to Subsection (4), the remuneration and other facilities are not provided to the worker, the principal employer shall inform the Department or the Office thereof.

(6) If information is received pursuant to Subsection (5) or if information that the labour supplier has not provided remuneration and facilities to the worker is received through any other means, the Department or the Office may make payment from the deposit or bank guarantee deposited by such labour supplier at the time of obtaining the license.

(7) The principal employer shall adopt measures and arrangements or provisions required to be made at the workplace for occupational health and safety.

(8) After an agreement has been concluded between the labour supplier and the principal employer, if the remuneration or facilities to be provided to the worker under the prevailing law are increased, the principal employer shall additionally pay such increased remuneration or facilities.

(9) Labour supply shall not be made from an establishment established with the involvement of the principal employer himself/herself or with the involvement, on behalf of the employer, of his/her manager or director or family member.

(10) Other provisions relating to the liability of the employer shall be as prescribed. 65.

To conduct inspection, supervision and monitoring: (1) The Office shall regularly inspect and monitor whether or not the labour supplier is working in accordance with this Act or the rules made under this Act and the instructions given or conditions prescribed under this Act or the rules made under this Act. (2) If, through on-site inspection, monitoring or any other means, a labour supplier is found not to be carrying out activities in accordance with this Act or the rules made under this Act or the conditions prescribed for him/her, the Office may give necessary instructions to the labour supplier. (3) It shall be the duty of the concerned labour supplier to comply with the instructions given pursuant to Subsection (2). 66. To be deemed a worker of the principal employer: If the principal employer employs a worker by means of labour supply through a person or company that has not obtained a license to supply labour under this Act, or contrary to the provisions mentioned in this Act, such worker shall be deemed a worker of the principal employer. 67. Not to charge fees from workers: A labour supplier shall not charge any kind of fee or commission from the worker supplied by him/her. Chapter-12 Provisions relating to Occupational Safety and Health 68. To formulate policy relating to safety and health: (1) Subject to this Act, the rules made under this Act, and the instructions given under this Act or the rules made under this Act, the employer shall formulate and implement a policy relating to the safety and health of workers and other persons at the workplace. (2) The policy formulated pursuant to Subsection (1) shall be registered at the Office. (3) Other provisions relating to the safety and health policy to be formulated by the employer shall be as prescribed. (4) The Office shall regularly monitor whether or not the safety and health policy formulated by the employer under this Section is being complied with. 69.

Duties of employer towards worker: (1) In relation to occupational safety and health, the duties of the employer towards the worker shall be as follows:- (a) to make proper arrangements for safety and health at the workplace and create a safe working environment, (b) to arrange that the use, operation, storage and transport of chemical, physical or biological substances or equipment at the workplace do not adversely affect safety and health, (c) to provide necessary information, knowledge and training relating to safety and health to the worker as required, (d) to provide necessary training and information, in an appropriate language, regarding the use and operation of equipment or chemical, physical or biological substances related to work, (e) to make proper arrangements for safe entry and exit at the workplace, (f) to provide personal protective equipment to the worker as required, (g) to make other arrangements as prescribed. (2) The employer shall not charge any fee or charge from the worker for providing any safety-related facility or equipment. 70. Duties of employer towards non-worker: (1) The employer shall make necessary arrangements so that the safety and health of non-workers coming to or going from the workplace or passing through the workplace are not adversely affected. (2) If any work process at the workplace may adversely affect or pose a risk to the safety or health of any person, the employer shall make arrangements to give, keep or provide information regarding signs in that regard. (3) An establishment that uses or produces chemical substances shall manage

the chemical substances, gas or any other things emitted during the operation of its work in such a way that they do not adversely affect local fauna, humans and the environment. 71. Duties of responsible person: It shall be the duty of the responsible person to ensure whether a workplace, equipment, article or substance is safe and healthy for the related work or not. Explanation: For the purposes of this Section, "responsible person" means a person who has ownership or control over the workplace, equipment, article or substance, and that term also denotes the person or entity that acquires ownership or control through an agreement regarding the use of such workplace chief, equipment, article or substance, if such an agreement exists. 72.

Duties of manufacturer, importer and supplier: (1) The duties of a manufacturer, importer or supplier of any equipment, article or substance used at the workplace shall be as follows:- (a) to manufacture, import and supply equipment, articles or substances that, from the perspective of safety and health, are found suitable through testing for operation and use at the workplace, (b) to determine the methods and procedures for operating or using such equipment, article or substance in an appropriate manner so that the safety and health of persons associated with the workplace are not adversely affected, (c) to detect risks that may adversely affect safety or health from the use of such equipment, article or substance, (d) to carry out necessary research, experiment or testing to eliminate or reduce the risk detected pursuant to Clause (c), Provided that if there are reasonable grounds to rely on the results of any research, experiment or testing already conducted by someone else in that regard, such research, experiment or testing may be recognized, (e) to prepare guidelines to fully inform about the necessary matters to be adopted from the perspective of safety and health when operating and using the equipment, article or substance to be operated and used at the workplace. (2) A person or entity manufacturing or installing equipment to be used at the workplace shall provide the employer with a written report stating that if the equipment so manufactured or installed is used appropriately, it will not adversely affect anyone's safety or health. (3) If any equipment, article or substance is not used in accordance with the information or advice provided by the manufacturer or supplier supplying the equipment, article or substance regarding its use, such equipment, article or substance shall not be deemed to have been used appropriately for the purposes of this Section. (4) The manufacturer, importer or supplier of any chemical substance used at the workplace shall provide the employer with a chemical safety data sheet and other details as prescribed regarding such substance. 73.

Duties of worker: The duties of a worker in relation to occupational safety and health shall be as follows:- (a) not to knowingly or negligently perform any act at the workplace that may adversely affect or pose a risk to his/her own or any other person's safety and health, (b) to provide necessary assistance to the employer and the concerned person for the fulfilment or causing the fulfilment of any duty mentioned in this Chapter, (c) to acquire knowledge about the guidelines, advice and other matters prepared for the safe and careful operation and use of the equipment, articles or substances to be operated and used at the workplace, (d) to safely and carefully operate and use such workplace, equipment or substance in accordance with the guidelines, information and advice prepared for operating and using the workplace, equipment, article or substance, (e) to mandatorily use the personal protective equipment provided by the employer. 74. To form Safety and Health Committee: (1) In an establishment where twenty or more workers are employed, the employer shall form a Safety and Health Committee as prescribed, with representation of workers as well. (2) For the purposes of Subsection (1), workers employed through a labour supplier shall also be counted. (3) The functions, duties and powers of the Safety and Health Committee formed pursuant to Subsection (1) shall be as follows:- (a) to regularly advise the employer on the safety and health arrangements to be made at the workplace and on making such arrangements effective, (b) to evaluate the safety and health arrangements made at the workplace and draw the employer's attention to making such arrangements even more effective, (c) if no action is taken upon drawing attention pursuant to Clause (b), to inform the Office thereof, (d) to

review the safety and health policy formulated under Section 68 every year, (e) to perform other functions as prescribed. 75. Protection from action: The employer shall not take disciplinary action against any worker merely for the reason of having done any of the following acts:- (a) giving or assisting in giving information, notification or complaint against the employer regarding failure to make safety and health arrangements, (b) performing any work in the capacity of the Health and Safety Committee under Section 74, or (c) stopping work under Section 76 or 77 due to an immediate risk to safety and health. 76.

To stop work in case of immediate danger: (1) If, without immediately stopping any work, there is a risk of physical injury or danger to the worker performing such work or any other person, or a serious adverse effect on his/her health, or unexpected damage or loss to any equipment, article or substance, the worker engaged in such work shall inform the employer or the responsible person under Section 71 thereof. (2) After receiving information pursuant to Subsection (1), the employer or the responsible person shall immediately give appropriate instructions in that regard. (3) If the employer or the responsible person is not immediately available to give information pursuant to Subsection (1), the worker may stop such work himself/herself. (4) If work is stopped pursuant to Subsection (3), the worker stopping such work shall immediately inform the employer and the responsible person thereof by the quickest means. (5) After receiving information pursuant to Subsection (4), the employer or the responsible person shall immediately investigate the matter and eliminate or mitigate the risk arising therefrom. (6) If there is any dispute between the worker and the employer as to whether any immediate danger requiring the stoppage of work has arisen, and whether the arrangements made to eliminate or mitigate the risk are adequate, either party may submit an application to the Office for the settlement of such dispute. (7) If an application is submitted pursuant to Subsection (6), the Office shall investigate the matter, hear both parties, and, if necessary, take evidence and settle such dispute. (8) The decision of the Office settling the dispute pursuant to Subsection (7) shall be final, and both the employer and the worker shall abide by such decision. (9) Notwithstanding anything elsewhere in this Section, work shall not be stopped with the intention of causing loss or damage to the employer, causing trouble or taking revenge. (10) During the period work is stopped under this Section, the employer may assign the worker to other work, subject to his/her terms of service. 77.

To give order to stop work: (1) If, from inspection or any other source, it appears that there is an immediate danger or likely immediate danger to the safety and health of workers or other persons at the workplace of any establishment, the Office may give an order to the employer to immediately stop work at such workplace. (2) When giving an order pursuant to Subsection (1), the reason and basis for the danger shall also be specified. (3) When giving an order pursuant to Subsection (1), if the Office finds that any equipment at the workplace is not suitable for operation or use, it may order that such equipment not be used, and while giving such order, it may also seal or affix a tag to such equipment or any part thereof. (4) If the Office has given an order to stop work pursuant to Subsection (1), the employer shall immediately stop the work. (5) An employer who is not satisfied with the order given by the Office under this Section may submit an application to the Department within seven days of receiving such order. (6) The Department shall decide on the application submitted pursuant to Subsection (5) within fifteen days. (7) Work shall not be permissible during the period referred to in Subsection (6). Provided that if the Office informs that there is no immediate danger to the safety and health of any person during such period, work may be resumed. 78. Special provisions relating to occupational safety and health: (1) The safety and health standards to be complied with by an establishment performing work related to the following subjects shall be as prescribed:- (a) Arrangements for eye protection, (b) Arrangements for protection from chemical substances, (c) Arrangements for operation of pressure plant, (d) Arrangements for machine guarding, (e) Arrangements for lifting heavy loads, (f) Other necessary arrangements. (2) Provisions relating to the testing of pressure plant and boiler shall be as prescribed. (3)

Information about the establishment of an establishment and other occupational safety and health arrangements shall be as prescribed. 79. To give information: If any accident occurs at the workplace, or any person is injured or dies due to an accident, or contracts an occupational disease, the employer shall immediately give information thereof to the Office. 80.

To make arrangements for prevention of communicable diseases: (1) The employer shall make appropriate arrangements for the prevention and control of communicable diseases at the workplace. (2) If a worker contracts a communicable disease and requires treatment, he/she may be prohibited from coming to work during the entire period of treatment. (3) If the sick leave of such worker for treatment pursuant to Subsection (2) is insufficient, the employer may direct the worker to adjust it to other leave or to take special leave without pay. (4) It shall be the duty of the concerned worker to comply with the direction given pursuant to Subsection (3). 81. To assign to light work: (1) If a female worker becomes pregnant, she shall, attaching the certificate of having undergone a health examination, give information thereof to the employer. (2) Upon receiving information pursuant to Subsection (1), the employer shall ordinarily assign the pregnant female worker to work that does not adversely affect her health. 82. Special provisions relating to treatment of occupational diseases: (1) If a worker contracts any occupational disease as prescribed while working in an establishment, such establishment shall provide the worker with the treatment expenses as prescribed for the treatment of such disease, and if such disease is incurable, compensation as prescribed. (2) Notwithstanding anything written in Subsection (1), if the worker is entitled to receive treatment expenses or compensation for an occupational disease from the Social Security Fund, the establishment shall not be required to provide treatment expenses or compensation under Subsection (1). 83. Power to give instructions: (1) The Office may periodically or randomly inspect whether or not the employer has made safety and health arrangements. (2) While inspecting pursuant to Subsection (1), if the employer is found not to have made safety and health arrangements at the workplace as per this Act or the prevailing law, the Office shall set a time limit and give instructions to the concerned employer to make such arrangements.

Provided that if it appears that failure to make such arrangements immediately would endanger the safety and health of workers or other persons or adversely affect the environment, instructions shall be given immediately to make such arrangements, stating the same.

(3) The Office may give instructions to the employer to provide necessary information and details regarding accidents, occupational diseases, or the health and safety of workers and other persons at the workplace.

(4) It shall be the duty of the concerned employer to comply with or cause compliance with the instructions given pursuant to Subsection (2) or (3). Chapter-13

Provisions relating to Industries or Services of a Special Nature

84. Special provisions relating to tea estate workers: (1) The liabilities of the employer towards tea estate workers shall be as follows:-

- (a) to make arrangements for suitable housing within the tea estate for tea estate workers who do not reside near the tea estate, and their dependent families,
- (b) to provide free first aid for minor injuries to tea estate workers and members of their dependent families, and to make arrangements for health treatment materials including a trained person for that purpose,
- (c) to make arrangements so that daily necessities can be easily available if there is no market facility near the tea estate,
- (d) to make appropriate arrangements for sports and recreation for the physical and mental development of tea estate workers and members of their dependent families. Explanation: For the purposes of this Section:-

- (1) "Tea estate" means a tea estate registered under the prevailing law, and that term also includes the factory, other physical infrastructure and its premises established within the tea estate.
- (2) "Tea estate worker" means a worker engaged in digging, ploughing, leveling, weeding, sowing, planting, hoeing, cutting, plucking, uprooting or similar other work on the land of the tea estate, and that term also includes a worker involved in tea processing or any other work of the tea estate.
- (3) "Dependent family" means the family of the tea estate worker who lives with him/her and whom he/she is required to support.

(2) This Section shall not be deemed to prevent an agreement between workers working in a tea estate and the employer regarding the completion of any work of the tea estate. 85. Special provisions relating to construction workers: (1) The liabilities of the employer towards construction workers shall be as follows:-

- (a) to provide necessary tools, equipment and materials in sufficient quantity for construction,
- (b) to arrange temporary shelter and pure drinking water for workers who do not reside near the construction site, and to arrange for the supply of necessary foodstuffs,
- (c) to make appropriate safety arrangements at the construction site.

Explanation: For the purposes of this Section,-

(1) "Construction work" means the work of constructing buildings, roads, bridges, canals, tunnels, internal or inter-country waterways, railways, construction work or power houses, telecommunications, telephone or telegraph structures and similar other structures, and that term also includes the work of installing machinery, tools or equipment in such structures.

(2) "Construction worker" means a worker engaged in construction work.

(2) A person or entity taking the responsibility or contract of construction work shall be deemed an employer for the purposes of this Act.

(3) While determining the rates of remuneration and other facilities for construction workers, mandatory representation of the concerned level of trade union and the construction entrepreneurs' association shall be ensured.

(4) Other provisions relating to construction workers shall be as prescribed. 86. Special provisions relating to transport workers: (1) The liabilities of the employer towards transport workers shall be as follows:-

- (a) to mandatorily arrange at least two drivers to drive alternatively a vehicle transporting passengers over long distances (long route),
- (b) to make arrangements for drivers of long-distance vehicles to rest at various places before reaching the destination,
- (c) to pay a transport worker employed for more than eight hours a day remuneration at the rate of one and a half times the remuneration receivable by him/her for overtime work,

Provided that if a trip allowance, food allowance or other similar allowance is to be given to the transport worker, he/she shall receive only one of such allowance or the one and a half amount, as he/she chooses.

(d) if the vehicle breaks down and cannot run before reaching the destination, or if it has to be stopped at one place for any reason, the worker shall be paid fifty percent of the allowance he/she would have received while the vehicle was running,

(e) to keep necessary medicines and health treatment materials for first aid in the vehicle. Explanation: For the purposes of this Section,-

(1) "Long distance" means a long route determined pursuant to law.

(2) "Transport work" means the work of transporting people, animals or goods from one place to another by

means of mechanical means.

(3) "Transport worker" means a worker engaged in transport work.

(2) A transport worker driving a vehicle shall not consume intoxicating substances from at least twelve hours before driving the vehicle until reaching the destination.

(3) A worker acting contrary to Subsection (2) may be removed from service by the concerned employer, deeming that he/she has behaved badly.

Provided that before such removal from service, such worker shall be given an opportunity to submit an explanation.

(4) If the employer wishes to remove a worker employed in a vehicle owned by him/her due to the sale of such vehicle or change of ownership for any other reason, the employer may terminate the employment relationship by providing the facilities payable as retirement. Provided that this provision shall not apply in the case of an establishment operating vehicles. 87. Special provisions relating to workers connected with tourism: (1) The liabilities of the employer towards workers connected with tourism shall be as follows:-

(a) to provide sufficient medicines and health treatment materials for first aid when sending workers to the workplace,

(b) to carry out or cause to carry out immediate rescue operations if a worker is in a serious health problem or accident.

(2) The employer shall provide the worker referred to in Subsection (1) with one of the following facilities, as chosen by the worker: field allowance, food allowance or other similar allowance, or one and a half remuneration for overtime work.

(3) An employer engaged in hotel, motel, restaurant, jungle safari or other businesses shall distribute the service charge amount collected pursuant to a collective agreement as prescribed. 88. Provisions relating to domestic workers: (1) The Government of Nepal may determine a separate minimum remuneration for domestic workers.

(2) Notwithstanding anything elsewhere in this Act, the public holidays, weekly holidays and other provisions relating thereto for domestic workers shall be as prescribed.

(3) If the employer has arranged for the domestic worker to eat and stay at home or has provided assistance in studies, the employer may deduct the amount therefor from the remuneration.

(4) The employer shall allow the domestic worker to celebrate festivals according to his/her culture, religion, and traditions. 89. Provisions relating to seasonal establishments: (1) If a seasonal establishment is closed during the off-season, the workers working in such establishment shall be kept in reserve for the entire period the establishment is closed. Explanation: For the purposes of this Section, "seasonal establishment" means an establishment that can be operated only in a particular season, and that term also includes an establishment that cannot be operated for more than one hundred and eighty days in a year.

(2) Notwithstanding anything elsewhere in this Act, the employer shall pay a worker in regular employment an amount equal to twenty-five percent of the remuneration receivable by him/her during the off-season period when the seasonal establishment is closed.

(3) If any question arises as to whether any establishment is a seasonal establishment or not, the decision thereof shall be made by the Office. 90.

Provisions relating to establishments registered abroad and operating business in Nepal: If a foreign establishment engaged in promoting any business, selling any goods, or any other work in Nepal violates the employment agreement with its representative or worker in Nepal, such representative or worker may lodge a complaint under this Act with the Office or the Labour Court. Chapter-14 Provisions relating to Fair Labour Practices 91. To comply with fair labour practices: Employers, establishments and trade unions shall comply with fair labour practices while dealing with each other in the course of their work and activities. 92. Acts deemed to be unfair labour practices: (1) Employers and trade unions shall not engage in or cause to engage in unfair labour practices as per Subsection (2) or (3). (2) If an employer commits any of the following acts, it shall be deemed to have engaged in an unfair labour practice:- (a) failing to comply with or cause compliance with labour laws, (b) restricting the exercise of rights conferred by labour laws, (c) knowingly creating false evidence with the intention of taking action against a worker, (d) committing any act solely with the intention of knowingly causing trouble or harassment to a worker, (e) interfering or causing interference in the formation, operation and administrative work of a trade union, (f) continuing a lock-out declared illegal, (g) assaulting or causing assault on a worker, (h) inciting or provoking workers with the intention of creating animosity or discord among workers. (3) If a trade union commits any of the following acts, it shall be deemed to have engaged in an unfair labour practice:- (a) pressuring or threatening a worker to become or not become a member of any union, (b) forcibly collecting donations or contributions, (c) picketing or gheraoing at the employer's private residence or another establishment of the employer, except at the workplace, (d) assaulting or causing assault on the employer, his/her representative or a worker, or engaging in any other illegal activity to get its demands fulfilled, (e) knowingly committing any act causing loss or damage to the employer's property. Chapter-15 Provisions relating to Inspection 93. Provisions relating to Office and Inspector: (1) For the implementation of this Act and the prevailing Nepali laws relating to labour, the Government of Nepal may establish offices as required. (2) The districts falling within the jurisdiction of the offices established pursuant to Subsection (1) shall be as prescribed by the Ministry. (3) The Government of Nepal may, by publishing a notice in the Nepal Gazette, appoint one or more Inspectors as required for any area. 94.

Functions, duties and powers of the Office: (1) The functions, duties and powers of the Office shall be as follows:- (a) to monitor whether the minimum remuneration, allowances determined under this Act, or facilities receivable under a collective agreement, and the rights conferred upon workers and employers by the prevailing Nepali law are being implemented or not, (b) to regularly monitor the effective implementation of this Act and the rules made under this Act, and give necessary instructions to the concerned party for implementation, (c) to provide training on standards and codes of conduct made under this Act and other prevailing labour laws, and regularly monitor whether such standards and codes of conduct are being implemented, (d) to provide necessary technical assistance to workers and employers if requested for providing necessary training, (e) to give instructions to the employer to provide occupational safety and health standards or employee regulations or other necessary related documents, (f) to implement collective agreements concluded between the employer and workers, and decisions made by mediators, (g) to inspect whether children are employed, and if found employed, to immediately rescue them and take action against such employer, (h) to inspect whether or not the employer has implemented the occupational safety and health arrangements under Chapter-12 in establishments and workplaces, (i) to observe or inspect machinery, tools, equipment or articles or substances installed at the workplace, and check whether such machinery, tools, equipment, articles or substances meet the prescribed standards, and if testing is required, to collect samples thereof, (j) to conduct or cause to conduct periodic or random inspections of establishments or workplaces, (k) to order the concerned establishment or its officer to provide any register,

document or paper including electronic records at the establishment or workplace, and if not provided, to enter such establishment or workplace and take under its control the original register, document or paper or a copy thereof by giving a receipt, (l) to take information or knowledge on necessary matters from the employer, managerial level workers of the establishment or other workers, (m) if necessary, to summon the employer, managerial level workers of the establishment or other workers to the Office and take their statements, (n) if, while inspecting a workplace or establishment or from any other source, it comes to know that the employer, worker or trade union has acted contrary to this Act or the rules made under this Act, to give necessary instructions to immediately rectify such act, (o) to keep records of applications or documents received at the Office or information received from any other source, provide a receipt of registration of such applications and documents, keep records of decisions, orders and conciliations made by the Office, or provide certified copies of any document to those who request them, (p) to perform other functions stated to be performed by the Office under this Act and the prevailing Nepali law, or (q) to perform other functions as prescribed. (2) While exercising powers under this Section, the Office may, if necessary, request the local administration, police or any other body to provide assistance, and may request the local administration, police or concerned body to provide such assistance. (3) If assistance is requested pursuant to Subsection (2), it shall be the duty of the local administration, police and the concerned body to provide such assistance to the Office.

95. Functions, duties and powers of Inspector: (1) The performance of functions and duties and the exercise of powers to be carried out on behalf of the Office shall be carried out by the Inspector and subordinate employees as prescribed.

(2) Notwithstanding anything written in Subsection (1), if any Act or other law specifies that a particular work must be done by an Occupational Safety and Health Inspector, the power to perform such work or to inspect the machinery and tools of a factory, matters relating to occupational safety and health, and other technical work shall vest in the Occupational Safety and Health Inspector on behalf of the Office. Provided that if an Occupational Safety and Health Inspector is not available in an Office, the provisions written in this Subsection shall not be deemed to prevent the Office from assigning inspection work to an Occupational Safety and Health Inspector working in another Office or to a technical expert knowledgeable in the related subject, and from having the Labour Inspector work on behalf of the Office accordingly. 96. Liability of Inspector or employee: (1) The duties of an Inspector or employee assigned to inspect an establishment or workplace under Section 95 shall be as follows:-

- (a) to enter the establishment or workplace only after showing his/her identity card,
- (b) to give a written receipt for taking control of any register, document or record or article,
- (c) to keep the identity of the complainant confidential if the complainant requests to keep his/her identity confidential,
- (d) to perform his/her official duties without interfering with the work of the establishment or workplace, and
- (e) to keep confidential the information, knowledge or statistics obtained during inspection, except in circumstances where disclosure is required by law.

(2) If an Inspector or employee assigned to inspect an establishment or workplace fails to perform duties under Subsection (1), does any indecent act or act contrary to official duty, or causes loss or damage by doing any act with malice, the concerned person shall inform the authority concerned through the Office.

(3) If, upon necessary investigation of the Inspector or employee pursuant to Subsection (2), he/she is found guilty, the authority concerned may impose departmental punishment under the prevailing law. 97. To provide necessary assistance: It shall be the duty of the concerned employer, worker and trade union to provide

necessary assistance to an Inspector or any employee assigned for the inspection of an establishment or workplace during the inspection. 98.

To submit report: Unless otherwise instructed, the Inspector or employee shall, within fifteen days from the date of completion of the inspection of the establishment or workplace under this Chapter, submit a report to the Office specifying the details as prescribed. 99. Office may give instructions: (1) After receiving a report under Section 98, the Office shall conduct necessary study and, if any work, work process or other matter of an establishment or workplace or worker or trade union needs improvement, may immediately give instructions to make such improvement and to stop any work process being carried out contrary to law. (2) A party not satisfied with the instruction under Subsection (1) may file an appeal in the Labour Court within thirty-five days. (3) The decision given by the Labour Court on the appeal filed under Subsection (2) shall be final. 100. To conduct labour audit: (1) Every establishment shall conduct a labour audit on whether or not the work and activities in the establishment have been carried out in accordance with this Act, the regulations and the prevailing law, and prepare a report thereof as prescribed. (2) The report under Subsection (1) shall be made available to the Office or the Inspector at the time of inspection under this Chapter or when requested by the Office or the Inspector. 101. To submit application to convenient Office: Workers of an establishment having branches or workplaces in an area with more than one Office may submit an application to the Office convenient to them, and upon such application being submitted, the concerned Office shall hear such application. Chapter-16 Provisions relating to Council and Committee 102.

Formation of Central Labour Advisory Council: (1) A Central Labour Advisory Council as follows shall be formed to advise the Government of Nepal on matters relating to labour: Post Description (a) Minister or Minister of State for Labour and Employment - Chairperson (b) Secretary, Ministry of Finance - Member (c) Secretary, Ministry of Labour and Employment - Member (d) Secretary, Ministry of Physical Infrastructure and Transport - Member (e) Secretary, Ministry of Agricultural Development - Member (f) Secretary, Ministry of Industry - Member (g) Secretary, Ministry of Health - Member (h) Director General, Department of Labour - Member (i) Executive Director, Social Security Fund - Member (j) Executive Director, Vocational Skill Development Training Centre - Member (k) Five persons, including at least two women, nominated by the Ministry as prescribed from among employers - Member (l) Five persons, including at least two women, nominated by the Ministry as prescribed from among trade union federations - Member (m) Joint Secretary (looking after the concerned division), Ministry of Labour and Employment - Member-Secretary (2) The term of office of the members under Clause (k) and (l) of Subsection (1) shall be three years, and they may be re-nominated. (3) While nominating representatives under Clause (k) and (l) of Subsection (1), the Ministry shall nominate on the recommendation of the organization of employers in the case of employers, and on the recommendation of the Joint Trade Union Coordination Centre in the case of trade union federations. (4) Members under Clause (k) and (l) of Subsection (1) may nominate an alternate member to participate in the meetings of the Council in their absence. 103. Functions, duties and powers of the Council: (1) The functions, duties and powers of the Council shall be as follows:- (a) to provide opinions and suggestions to the Government of Nepal on labour policy, (b) to provide necessary opinions and suggestions to the Government of Nepal for contemporary reform (5) The procedures and other arrangements relating to the meeting of the committee pursuant to sub-section (1) shall be as prescribed. Chapter-17 Provisions Relating to Internal Management of an Enterprise 108. Internal management may be made: (1) Every enterprise may, as required, make by-laws for its internal management. (2) Amended by the Act Amending Some Nepal Acts, 2075 (2018).

While making by-laws relating to service, terms and facilities for workers, or while granting approval to such

by-laws made by an enterprise, the body authorised to grant approval to such by-laws shall do so in a manner not contrary to the minimum standards mentioned in this Act and the collective agreement. (3) For the purpose of sub-section (1), the Ministry may, as required, prepare model by-laws. Provided that, nothing shall be deemed to prevent the Nepal Rastra Bank, in the case of banks and financial institutions, and the regulatory body, in the case of other enterprises, from making by-laws. (4) One copy of the by-laws made by the enterprise shall be registered in the office, and if a worker wants to see such by-laws, the same shall be made available to him/her. (5) While making or amending by-laws, the enterprise shall consult the authorized trade union, if any, in the enterprise, and if there is no such authorized trade union, the active trade union. (6) If any provision of the by-laws made by the enterprise conflicts with this Act, prevailing law, or collective agreement, the court may invalidate such provision of the by-laws or issue any other appropriate order. 109. Transfer may be made: (1) The enterprise may transfer a worker from one office, branch, or unit to another office, branch, or unit of the enterprise in a manner that does not adversely affect his/her service terms and facilities and does not change the nature and level of his/her work.

Provided that, in the following circumstances, a transfer may be made involving a change in the nature and level of work:- (a) with the consent of the concerned worker, (b) in a situation where the worker is transferred upon promotion, (c) as mentioned in the collective agreement, or (d) to transfer a worker to other work related to the training, skill, or educational qualification received by him/her. (2) A worker working in one enterprise may be transferred to another enterprise with his/her consent. (3) While making a transfer pursuant to sub-section (2), the service period of the worker so transferred shall be linked, and an agreement shall be made as prescribed between the transferring enterprise and the receiving enterprise regarding the fact that all facilities obtainable on the basis of service period and other terms of service shall be borne by the receiving enterprise. (4) If a worker is transferred outside the place of his/her permanent residence or outside the original workplace, the employer shall provide facilities as prescribed. 110. May be deputed as representative: (1) Any enterprise may send its worker to work in another enterprise in the capacity of its representative. (2) In the case of being deputed pursuant to sub-section (1), unless otherwise agreed, the liability relating to the service and facilities of such worker shall remain with the enterprise so deputing. 111. Formation of Labour Relations Committee: (1) In an enterprise where ten or more workers are employed, the employer shall form a Labour Relations Committee as prescribed. (2) The functions, duties, and powers of the Labour Relations Committee formed pursuant to sub-section (1) shall be as follows:- (a) to hold necessary discussions regarding productivity enhancement and improvement of work systems, (b) if there is a complaint from a worker or a potential situation arises, to discuss with the concerned party and attempt to resolve it, (c) to improve the working environment of the workplace, (d) to act as the Occupational Health and Safety Committee until such committee is formed, (e) to perform other functions as prescribed. (3) A meeting of the Labour Relations Committee pursuant to sub-section (1) shall be held as required in a manner that does not adversely affect the working hours of the enterprise. (4) Arrangements relating to the formation, procedures, and meetings of the committee shall be as prescribed. 112.

Enterprise may conduct performance evaluation of workers: (1) The enterprise may generally conduct a performance evaluation of workers once a year. (2) The basis and procedure for performance evaluation pursuant to sub-section (1) shall be determined in a fair and reasonable manner. (3) The basis and procedure pursuant to sub-section (2) shall be informed to the worker before the commencement of the period in which the performance evaluation is to be conducted. (4) After conducting the performance evaluation pursuant to sub-section (1), the employer or a person designated by him/her shall discuss with the concerned worker regarding his/her strengths and weaknesses and provide a reasonable opportunity to improve the shortcomings. (5) If the concerned worker disagrees with the evaluation made pursuant to sub-section (4),

he/she shall be given an opportunity to record the disagreement, and his/her signature shall be obtained on the performance evaluation form. (6) If a worker expresses disagreement pursuant to sub-section (5), the enterprise shall make arrangements for a review regarding the same. (7) Other arrangements relating to the performance evaluation of workers shall be as prescribed. Chapter-18 Resolution of Individual Disputes 113. Individual claim may be submitted: (1) If a worker has an individual claim on any matter relating to a right entitled under Amended by the Act Amending Some Nepal Acts, 2082 (2025). this Act and the rules made under this Act, prevailing law, or collective agreement, such worker may submit a written application to the employer. (2) Upon receiving an application pursuant to sub-section (1), the employer shall give a receipt to the worker. (3) Upon receiving an application pursuant to sub-section (1), the employer shall, within fifteen days, discuss with the concerned worker and resolve the dispute relating to such claim. (4) Notwithstanding anything written in sub-section (3), the period for resolving the dispute may be extended on the basis of an agreement between the employer and the worker. 114.

Application to the Office: (1) In the following circumstances, the concerned party may submit an application to the Office for the resolution of an individual claim pursuant to section 113 by conciliation:- (a) if the employer fails to give notice for discussion within seven days of the application under sub-section (1) of section 113, or (b) if agreement cannot be reached during discussion under sub-section (3) of section 113, after fifteen days from the date of the initial application to the employer. (2) Upon receiving an application pursuant to sub-section (1), the Office shall fix a date and time for discussion and notify the concerned employer and worker. (3) The Office shall, within twenty-one days of receiving the application pursuant to sub-section (1), cause necessary negotiations between the employer and the worker and resolve the dispute relating to the claim. (4) Notwithstanding anything written in sub-section (3), the period for resolving the dispute may be extended on the basis of an agreement among the Office, employer, and worker. (5) If an agreement is reached between the concerned employer and worker during the negotiations arranged pursuant to sub-section (3), the dispute relating to such claim shall be deemed to have been resolved. (6) The agreement made pursuant to sub-section (5) shall be binding on the concerned parties. 115. Office to decide: If the matter is not resolved pursuant to section 114, the Office shall, on the basis of the evidence received, decide within fifteen days. Chapter-19 Resolution of Collective Disputes 116.

Collective demand may be submitted: (1) In an enterprise where ten or more workers are employed, there shall be a collective bargaining committee as follows:- (a) a group of bargaining representatives designated from the elected authorized trade union of the enterprise, (b) if the election of the authorized trade union under clause (a) cannot be held, or if elected, the term has expired, a group of bargaining representatives nominated by mutual agreement of all unions present in the enterprise, (c) in the absence of an authorized trade union under clause (a) or a group under clause (b), a group of representatives supported by the signatures of more than sixty percent of the workers employed in the enterprise. (2) The collective bargaining committee may submit a collective demand in writing to the employer on matters relating to the interests of the workers. (3) Notwithstanding anything written in sub-section (2), a collective demand shall not be submitted on the following matters:- (a) matters contrary to the Constitution of Nepal, (b) matters that adversely affect the interest of any person based on unsubstantiated or baseless allegations, (c) matters affecting the personal conduct of any employer or worker, (d) matters unrelated to one's own enterprise, (e) until the period mentioned in this Act has elapsed after a collective agreement has been made, (f) relating to the rate of contribution and benefits prescribed for the social security scheme. (4) The collective bargaining committee may consist of three to a maximum of eleven members as prescribed on the basis of the number of workers. (5) The collective bargaining committee formed pursuant to this section shall have the right to submit a collective demand, enter into an agreement, file a case against any person, or defend a case. 117.

To negotiate regarding collective demand: (1) If a collective demand is submitted pursuant to section 116, the concerned employer shall, within seven days of the submission of the demand, give a written notice to the collective bargaining committee mentioning the place and time of negotiation. (2) If a notice is given pursuant to sub-section (1), the members of the collective bargaining committee shall be present at the place and time mentioned in the notice to negotiate. (3) If an agreement or settlement is reached between both parties during negotiation under sub-section (2), the dispute relating to the collective demand shall be resolved. (4) The agreement made pursuant to sub-section (3) shall be binding on the concerned parties. 118.

To conciliate: (1) In the following circumstances, the concerned party may submit an application to the Office to resolve the dispute relating to the collective demand by conciliation:- (a) if the employer fails to give notice to the collective bargaining committee for negotiation within the period under sub-section (1) of section 117, or (b) if agreement cannot be reached within twenty-one days of the submission of the demand during negotiation under sub-section (3) of section 117. Provided that, if negotiations are ongoing, such period shall not be deemed to be prevented from being extended with the consent of the parties. (2) Upon receiving an application pursuant to sub-section (1), the Office shall summon the concerned parties and resolve the dispute by conducting conciliation. (3) The proceedings relating to conciliation under sub-section (2) shall be concluded within thirty days from the date of receipt of the application at the Office. Provided that, if negotiations are ongoing, such period shall not be deemed to be prevented from being extended with the consent of the parties. (4) If an agreement is reached between both parties during negotiation under sub-section (3) in the presence of the Office, the dispute relating to the collective demand shall be resolved. (5) The agreement made pursuant to sub-section (4) shall be binding on the concerned parties. 119. Dispute to be resolved by arbitration: (1) If conciliation is not made pursuant to section 118, the dispute relating to the collective demand shall be resolved through arbitration in the following circumstances:- (a) if there is an agreement between the collective bargaining committee and the employer to resolve the dispute relating to the collective demand through arbitration, (b) if a collective dispute arises in an enterprise operating an essential service, (c) if a collective dispute arises in an enterprise within a special economic zone, or (d) if a state of emergency is imposed under the Constitution and strikes are prohibited.

Explanation: For the purpose of this section, "essential service" shall be understood as a service the disruption of which adversely affects the life, health, and security of persons residing in the whole country or any part of the country.

(2) If a strike or lockout has occurred or is likely to occur, and the Ministry is convinced that the situation may cause an economic crisis in the country or that the dispute must be resolved by an arbitrator, the Ministry may, even if the collective dispute has reached any stage, order the resolution of the collective dispute by arbitration.

(3) For the purpose of sub-sections (1) and (2), the Ministry shall constitute an arbitrator comprising representation of workers, employers, and the Government of Nepal.

(4) The expenses of the arbitrator formed pursuant to sub-section (3) shall be borne by the Government of Nepal as prescribed.

(5) A party wishing to have the dispute resolved by arbitration shall submit a claim in writing to the arbitrator as prescribed.

(6) After receiving the claim pursuant to sub-section (5), the arbitrator shall send a copy of such claim to the other party and give an opportunity to submit a counter-claim.

(7) The arbitrator may consult or discuss with any expert while conducting proceedings under this section.

(8) The hearing shall be held on the date, time, and place fixed by the arbitrator, and the arbitration proceedings shall not be stayed solely because a party is absent or has failed to submit a counter-claim.

(9) The arbitrator shall deliver the decision within thirty days from the date of completion of the hearing under sub-section (8).

(10) The arbitrator shall have the same powers as a court under the prevailing law regarding taking evidence, recording witness statements, conducting spot inspections, and similar matters in relation to its proceedings.

(11) Unless otherwise provided by agreement of the parties, other arrangements relating to arbitration proceedings shall be as determined by the arbitrator. 120. Labour Arbitration Tribunal may be constituted: (1) The Government of Nepal may constitute an independent Labour Arbitration Tribunal for conciliation and arbitration in relation to collective disputes.

(2) In the event that a Labour Arbitration Tribunal is constituted under sub-section (1), the conciliation and arbitration proceedings under this Chapter shall be conducted by that same Labour Arbitration Tribunal.

(3) Other arrangements relating to the Labour Arbitration Tribunal shall be as prescribed. 121.

Strike may be called for resolution of collective dispute: (1) The collective bargaining committee may call a strike for the resolution of a collective dispute in any of the following circumstances:- (a) if the circumstances requiring mandatory arbitration under sub-section (1) of section 119 do not exist, (b) if the arbitrator fails to perform the arbitration, (c) if the arbitration cannot be constituted or a decision that arbitration must be conducted is not made within twenty-one days of application to the Ministry, (d) if the arbitrator fails to decide within the prescribed period, (e) if the employer refuses to implement the decision made by the arbitrator or challenges that decision legally, and (f) if any party disagrees with the decision of the arbitrator under sub-section (2) of section 122, except in cases where mandatory arbitration is required. (2) If a strike is desired under sub-section (1), a written notice containing the demands and specifying the date on which the strike will commence shall be given to the employer at least thirty days in advance, and information thereof shall also be given to the local administration and the concerned Office. (3) Notwithstanding anything written elsewhere in this Act, if after giving notice of a strike under sub-section (2) or after the strike commences, the Ministry orders the dispute to be resolved by arbitration under sub-section (2) of section 119, such strike shall be suspended, and the parties shall participate in the arbitration process. (4) Notwithstanding anything written elsewhere in this section, workers deployed in duties of shift, watch, and security of the enterprise shall not be entitled to participate in a strike during the time they are deployed in their duties and to perform acts under section 125. 122.

Decision of arbitrator and collective agreement to be binding: (1) The decision made by the arbitrator in relation to collective disputes that require mandatory arbitration under sub-section (1) of section 119 shall be binding on the concerned parties. (2) If any party to the dispute sent for arbitration pursuant to an order of the Ministry under sub-section (2) of section 119 is not satisfied with the decision made by the arbitrator, unless such party expresses disagreement in writing to the arbitrator within five working days from the date of such decision, such decision shall automatically be binding on the concerned parties after the expiry of that period. (3) The collective agreement and the decision of the arbitrator shall be registered in the Office for implementation and record. (4) A collective agreement shall be effective from the date specified therein, and if no effective date is specified, from the date of signature of the agreement; a decision by the arbitrator shall be effective from the date of such decision and shall remain in force for two years and shall be recognized as

law. (5) Notwithstanding anything written in sub-section (4), unless amended or repealed by another collective agreement or decision of the arbitrator, the provisions mentioned in the collective agreement or decision of the arbitrator shall remain in force as they are. 123. Special provision relating to submission of collective demand: (1) In tea gardens, the carpet sector, construction business, labour suppliers, the transport sector, or in industry groups of producers of goods or service providers or traders of similar nature as prescribed, a union federation active therein may form a collective bargaining committee and submit a collective demand to the concerned employers' association of the industry group as prescribed. (2) The manner of submitting a demand under sub-section (1), procedures relating to collective bargaining, and arrangements relating to the agreement shall be as prescribed. (3) In the case of an enterprise to which a collective agreement under this section applies, a collective demand shall not be submitted or an agreement made under this Chapter. (4) Notwithstanding anything written in sub-section (4) of section 122, the Ministry may issue an order requiring the submission of a collective demand and negotiation at a specific time. If such an order is issued, it may be earlier or later than the time mentioned in the same sub-section of the same section for one time. 124.

Lockout may be declared: (1) If a strike is called without notice under this Act, or if a strike continues, or if a collective dispute is not resolved through the procedures under this Act, a lockout may be declared in the enterprise with the approval of the Department, upon giving justification from the management side. (2) Before declaring a lockout under sub-section (1), the manager shall issue a notice to inform the workers, mentioning at least the date of the lockout, stating that a lockout will be declared if the strike is not ended, at least seven days in advance. (3) Notwithstanding anything written in sub-sections (1) and (2), if during the strike period there is a situation causing damage to the enterprise due to picketing, rioting, vandalism, etc. by workers, the manager may declare a lockout. If a lockout is declared in such manner, information with justification for the lockout shall be given to the Office or Department and local administration within three days. (4) Upon receiving information under sub-section (3), the local administration shall immediately make necessary arrangements for security at such workplace. (5) If a lockout imposed on any enterprise appears unjustified, or if it is likely to disrupt the peace and security of the country, or if it is detrimental to the economic interest of the country, the Department may at any time declare such lockout illegal. (6) Notwithstanding anything written elsewhere in this section, a lockout shall not be declared in an enterprise operating an essential service. 125. Picketing or meeting may be conducted: (1) In the event of a strike or lockout, workers may peacefully picket or hold a meeting at the workplace or at the main gate of the enterprise with the objective of pressuring for the fulfillment of demands. (2) Except in the situation of a strike or lockout, picketing or meetings may be conducted only before or after working hours or during break time in a manner that does not disrupt the work of the workplace or enterprise. (3) Even in the situation of picketing or a meeting under sub-section (1), workers shall not engage in acts such as preventing anyone from entering or exiting the workplace or enterprise, or causing any damage to the workplace. 126. Employment agreement not to be breached: No worker shall be deemed to have breached the employment agreement by reason of participating in a strike, lockout, picketing, or filing a complaint according to law, and the employment relationship shall be deemed to continue during that period. 127.

Remuneration for period of strike or lockout: (1) A worker participating in a strike contrary to prevailing law shall not receive any remuneration for such strike period. (2) If an employer declares a lockout contrary to law, the worker shall receive full remuneration for that period. (3) If there is any agreement in the collective agreement regarding receiving remuneration, it shall be as agreed; otherwise, a worker shall receive half remuneration during the period of a strike or lockout conducted after completing the procedures under this Act. (4) If a question arises as to whether any strike or lockout in an enterprise is contrary to law, the

Department shall, upon making necessary inquiry, decide within thirty-five days. 128. Suit for damages not to be filed: (1) If any economic loss is caused to an employer or worker due to a strike, picketing, or lockout conducted after completing the procedures under this Act, no suit shall be filed in any court against the workers, collective bargaining committee, trade union, or employer conducting the strike, picketing, or lockout in relation to such loss. (2) Notwithstanding anything written in sub-section (1), if there is vandalism, arson, or destruction of any property or physical damage caused in any manner at the workplace, an amount equal to the loss or damage may be recovered from the person or group committing such act in accordance with prevailing law. 129. Collective bargaining or agreement to be conducted in good faith: (1) The trade union or collective bargaining committee or employer shall conduct collective bargaining or a collective agreement in good faith. (2) Other arrangements relating to collective bargaining or agreement shall be as prescribed. Chapter-20 Provisions Relating to Conduct and Penalties 130. Observance of discipline and duty: It shall be the duty of every worker to observe discipline and duty under this Act or the rules or by-laws made under this Act. 131.

Misconduct and Penalty: (1) If a worker commits the following misconduct, a warning may be given:- (a) absent from work without approved leave, (b) leaving the workplace without the permission of the manager, (c) repeatedly late for work without approval, (d) failing to obey an order given by the employer or a higher-level worker in relation to work, (e) committing other misconduct specified in the by-laws. (2) If any of the following misconduct is committed, a deduction of up to one day's equivalent remuneration may be made:- (a) refusing to receive a notice or letter given by the employer or the punishing officer, (b) participating in an illegal strike or being compelled to participate, or collectively slowing down work, (c) causing loss or damage to the enterprise by reducing production or service due to negligence or carelessness, (d) attempting to obtain facilities by submitting false details, (e) if a worker required to use safety equipment fails to use the equipment provided by the employer, (f) committing other misconduct of a similar nature specified in the by-laws. (3) If any of the following misconduct is committed, an increment of the annual salary for one year may be withheld or promotion for one year may be withheld:- (a) taking the property of the enterprise outside or allowing unauthorized persons to use it without the approval of the authorized person, (b) attempting to misappropriate the employer's business, (c) causing damage to the employer's property through negligence or carelessness, (d) stopping the supply of food, water, telephone, electricity inside the workplace or preventing entry and exit within the workplace, (e) deliberately misusing or damaging items or arrangements made for the interest, safety, or health of workers, (f) committing other misconduct of a similar nature specified in the by-laws. (4) If any of the following misconduct is committed, the worker may be dismissed from service:- (a) assaulting or causing physical injury, with or without using any kind of weapon, against the employer or any worker or client or any person related to the workplace, or taking hostage, or committing rioting or vandalism within the premises of the enterprise, (b) engaging in bribery (giving or taking), (c) stealing anyone's property at the workplace, (d) misappropriating the finances of the enterprise, (e) deliberately causing damage to the property of the employer or property in his/her custody or use, (f) being absent from work continuously for more than thirty days without approved leave, (g) doing any act that breaches the confidentiality of the production formula or special technology of the enterprise with the intention of causing loss or damage to the enterprise or workplace in which he/she is employed, (h) working with a competing employer that matches the work nature of the enterprise, or conducting competing work oneself, or giving confidential information of the enterprise in which he/she works to a competing employer, (i) being convicted by a court on a criminal charge involving moral turpitude during the period of service, (j) forging and submitting false educational or other certificates required for appointment, (k) consuming or coming under the influence of drugs or intoxicants during working hours, (l) receiving more than two penalties under

sub-sections (1), (2), and (3) for misconduct within three years, (m) committing any misconduct for which there is a provision of dismissal from service under the prevailing Nepal law.

132. Sexual harassment not to be committed: (1) No person shall, by exerting undue influence at the workplace or in the course of work, commit or cause to commit any act deemed to be sexual harassment according to law.

(2) The employer may impose a penalty on a worker who commits sexual harassment, up to dismissal from service, considering the nature and severity of the harassment.

(3) If the employer or chief executive of the enterprise commits sexual harassment, the union, the victim, or any member of his/her family may file a complaint according to law. 133. Provisions relating to misconduct may be made in by-laws: (1) If a regulatory body regulating banks or financial institutions, schools, telecommunication service providers, hospitals, airline services, insurance companies, or enterprises of a specific nature has specified a specific penalty for a specific type of misconduct, provision may be made in the by-laws accordingly.

(2) Provision may be made in the by-laws of the enterprise, by a collective agreement or with the permission of the Department, to dismiss from service for committing misconduct of a serious nature. 134. Suspension may be made: (1) If a worker is in custody according to law, such worker shall be automatically suspended for that entire period and shall not receive remuneration for that period. Provided that if a worker placed in custody upon a complaint filed by the employer himself/herself is proven innocent, he/she shall receive full remuneration for that period.

(2) Except in the situation under sub-section (1), if it is not deemed appropriate to keep a worker proposed for punishment under sub-section (4) of section 131 on duty, or if there is a possibility that the worker, while being kept on duty, might destroy evidence relating to the allegation against him/her, or if there is a possibility of obstruction to the investigation, the employer may suspend such worker.

(3) While suspending a worker under sub-section (2), the suspension shall generally not exceed three months. Provided that if the investigation is not completed, the suspension period may be extended by up to one month.

(4) During the suspension period under sub-section (2), the worker shall receive half remuneration.

(5) If a worker placed under suspension under sub-section (2) is acquitted of the allegation against him/her, he/she shall receive the full remaining remuneration after deducting the remuneration received during that period, and also the salary increment if he/she would have received it.

(6) Except in the case of being in custody on a complaint or report filed by the employer himself/herself, if the suspension period under sub-section (1) exceeds ninety days, the employer may terminate the service of such worker.

In such termination, an opportunity of hearing need not be given. 135. Opportunity to submit defense to be given: Before imposing a penalty on a worker for misconduct, the punishing officer shall give an opportunity to submit his/her defense within a period of seven days, clearly mentioning the fact of misconduct and the possible penalty if proven. 136. Punishing officer: (1) The power to impose a penalty for misconduct shall vest in the chief executive in the case of an enterprise.

(2) Notwithstanding anything written in sub-section (1), if the by-laws authorize a managerial-level worker to

take final decisions also regarding penalties for misconduct, such officer shall have the authority to investigate and impose penalties. 137. Period for decision: (1) If a worker is found to have committed misconduct, proceedings shall be initiated within two months from the date such conduct came to knowledge.

(2) A decision shall be made within three months from the date of initiation of proceedings under sub-section (1). 138. Penalty may be reduced: (1) Nothing mentioned in this Chapter shall be deemed to prevent the imposition of a smaller penalty where a larger penalty is proposed for a worker.

(2) If any enterprise has made by-laws providing for a penalty lesser than the penalty under this Chapter, the provision of such by-laws shall apply in the case of a worker of that enterprise. Chapter-21

Provisions Relating to Termination of Employment

139. Security of employment: (1) The employment of any worker shall not be terminated except in circumstances under this Act and the rules or by-laws made under this Act.

(2) When terminating employment, a just and sufficient cause shall be stated. 140. Termination of employment of worker on time-based or task-based employment: The employment of a worker on time-based or task-based employment shall terminate in the following circumstances:-

(a) In the case of a worker on time-based employment, after the expiry of the period mentioned in the employment agreement. Provided that, if the worker is on project-based employment and such period is extended, or if the period for completing such work is extended based on the nature of work, the employment shall not terminate until such period.

(b) In the case of a worker on task-based employment, after the completion of the work mentioned in the employment agreement, or

Provided that, if the worker is on project-based employment and such work is extended, or if such work is extended based on the nature of work, the employment shall not terminate as long as such work exists.

(c) In the case of a worker on casual employment, at the will of the employer or worker. 141.

Employment may be terminated voluntarily: (1) A worker may terminate employment by submitting a written resignation to the employer. (2) The resignation submitted by the worker under sub-section (1) shall be approved by the employer within fifteen days, and information thereof shall be given to the concerned worker. (3) If the employer does not approve the resignation within the period under sub-section (2), such resignation shall be deemed to have been automatically approved from the day following the expiry of such period. (4) Notwithstanding anything written elsewhere in this section, the resignation submitted by a worker may be cancelled by mutual agreement between the employer and the worker. (5) If the worker continues to work in the same enterprise even after the day the resignation is approved and takes effect, his/her resignation shall be deemed to have been cancelled. 142. Employment may be terminated due to lack of competence: (1) If, upon evaluating the performance of a worker as provided in this Act or the rules and by-laws made under this Act, his/her competence is found unsatisfactory or substandard for three consecutive times or more, the employer may terminate the employment of such worker. (2) Before terminating employment under sub-section (1), a performance evaluation must have been conducted as mentioned in this Act or the rules and by-laws made under this Act. (3) An employer of an enterprise where ten or more workers are employed shall, before terminating employment under this section, give the worker at least seven days to submit a defense. 143. Employment may be terminated due to health reasons: (1) If a worker becomes physically or mentally disabled, impaired, or injured and unable to work, or if long-term treatment is required affecting work, the employer may terminate the employment of such worker on the basis of a doctor's recommendation. (2) Notwithstanding anything written in sub-section (1), if a worker is hospitalized for

treatment due to an accident occurring in the course of performing work assigned by the employer, or due to an occupational disease, the employment of such worker shall not be terminated during the entire period of treatment while hospitalized, and for up to one year from the date treatment commenced if treated at home, and the employer shall pay full remuneration for such period. Provided that, if remuneration is received from the Social Security Fund for the treatment period, the employer shall not be required to pay remuneration under this sub-section. (3) Except in the situation mentioned in sub-section (2), in the case of a worker unable to attend the work of the enterprise for treatment due to health reasons, the employment shall not be terminated for up to six months.

Provided that, if a doctor clearly recommends that the worker cannot return to work, this sub-section shall not be deemed to prevent earlier removal from service.

(4) Notwithstanding anything written in sub-section (1), if a worker who is physically disabled, impaired, or injured can be employed in some work suitable to his/her health condition, the employer shall employ such worker in that work. 144. Notice to be given: (1) Except in the case of termination of employment due to disciplinary action for misconduct, before terminating the employment relationship, the employer or worker shall give notice to each other as follows:-

- (a) in the case of employment up to four weeks, at least one day in advance,
- (b) in the case of employment from four weeks to one year, at least seven days in advance, and
- (c) in the case of employment for more than one year, at least thirty days in advance.

(2) If the employer terminates employment without giving notice under sub-section (1), he/she shall pay remuneration for the period for which notice should have been given to the concerned worker.

(3) If a worker terminates employment without giving notice to the employer under sub-section (1), the employer may deduct an amount equal to the remuneration for the period for which notice should have been given from the remuneration payable to the concerned worker. 145. Worker may be retrenched: (1) If economic difficulties arise in the operation of the enterprise, or if the number of workers becomes excessive due to the merger of more than one enterprise, or if the enterprise has to be partially or completely closed for any other reason, the employer may retrench the number of workers.

(2) While retrenching the number of workers under sub-section (1), the employer shall give notice to the Office, and to the authorized trade union at the enterprise level if any, or if none, to the active trade union or the Labour Relations Committee in the enterprise, stating

157. Power to Compromise: (1) Notwithstanding the stage of proceedings reached in a case pending in the Labour Court under this Act, the Labour Court may, upon application by the concerned party, permit the compromise, staying, or withdrawal of such case.

(2) No fine, penalty, or fee of any kind shall be imposed upon compromising, staying, or withdrawing a case pursuant to subsection (1). 158.

High Court to function as Labour Court: (1) Notwithstanding anything written elsewhere in this Chapter, the Government of Nepal may, by publishing a notice in the Nepal Gazette, designate any High Court with jurisdiction to function as a Labour Court. (2) The High Court designated pursuant to subsection (1) may exercise all powers exercisable by a Labour Court under this Chapter while conducting and deciding cases. 159. To be sent to the body having jurisdiction: While deciding that a case filed in the Labour Court or Office under this Act or prevailing law lacks jurisdiction, the Labour Court or Office shall fix a date and send the case along with the record to the concerned competent body for decision. 160. Procedure of the case: Other

provisions relating to the procedure of cases filed in the Labour Court shall be as prescribed. 161. Appeal lies to the Supreme Court: (1) A party dissatisfied with an order or judgment rendered in a case originally tried and decided by the Labour Court under this Act may file an appeal in the Supreme Court within thirty-five days from the date of receipt of such order or judgment. (2) A decision made by the Labour Court in an appellate capacity shall be final. Chapter 23 Provisions Relating to Complaints, Penalties and Appeals 162. Who may file a complaint: If any person, employer, worker, or office-bearer commits an act contrary to this Act or the Rules framed under this Act, the party aggrieved by such act, or, with the written consent of the aggrieved party, the concerned Trade Union, may file a complaint with the body authorized to decide under section 163 or 164 within six months from the date of such act. 163.

Department or Office may decide: (1) The Department may, upon conducting necessary inquiry into complaints received on the following matters, do as follows: (a) Impose a fine of up to two hundred thousand rupees on a person supplying workers without obtaining a license under this Act and on a person employing workers through such supplier, and issue necessary orders subject to this Act; (b) Impose a fine of up to two hundred thousand rupees, based on the number of workers, on a person employing a foreigner without obtaining a labor license under this Act, and if such foreigner is continued to be employed after such penalty, impose an additional fine at the rate of five thousand rupees per person per month; (c) Impose a fine of up to one hundred thousand rupees on a person discriminating contrary to Chapter 2 at the time of or after employment, and order to ensure equality; (d) Impose a fine of up to five hundred thousand rupees at the rate of ten thousand rupees per remuneration on a person employing without providing an appointment letter or entering into an employment agreement, and order to make an appointment letter or employment agreement; (e) Initiate departmental action under prevailing law against an Inspector who, through negligence or mala fide intent, causes loss or damage by performing any act contrary to Chapter 15; (f) Issue necessary orders if any person engages in unfair labor practices, transfers a worker unjustly contrary to this Act, or conducts promotion-related work contrary to the establishment's by-laws; (g) Issue necessary directives to the concerned Office if, in matters to be performed by the Office under this Act or Rules framed under this Act, where a time limit is specified, such work is not completed within thirty days after the expiry of that period; (h) Perform necessary work to resolve a dispute arising between a labor supplier and the principal employer regarding remuneration and facilities to be provided to workers. (2) The Office may, upon conducting necessary inquiry into applications received on the following matters, do as follows: (a) Order the employer who employs a worker at a remuneration lower than the minimum remuneration or who deducts remuneration or facilities contrary to this Act or the Rules framed under this Act to pay the concerned worker, in addition to the deducted amount, compensation of up to double that amount; (b) Impose a fine of up to twenty thousand rupees on an employer, worker, or other person who obstructs a government employee in the discharge of duty, submits false details, gives false statements, exerts undue influence in any manner, or attempts to do so; (c) Impose a fine at the rate of ten thousand rupees per trainee or apprentice on an employer who employs any person as a trainee or apprentice contrary to this Act, and order the employer to keep such person working as a trainee or apprentice in regular employment and to provide remuneration and facilities accordingly; (d) Order an employer who fails to deposit the gratuity or provident fund amount receivable by a worker, or the amount to be deposited in the Social Security Fund under this Act or Rules framed under this Act, or fails to provide medical treatment expenses or insure against compensation, to pay such compensation and double the amount thereof as compensation; (e) Direct an employer who places a worker on reserve contrary to this Act or in a discriminatory manner not to do so; (f) Issue necessary directives to an employer who terminates employment or prevents a worker from attending work contrary to this Act or the Rules or By-laws framed under this Act. (3) Notwithstanding anything written elsewhere in this Section,

nothing shall be deemed to prevent a worker from submitting an application to the employer by adopting the individual dispute resolution process and resolving the dispute accordingly. (4) The proceedings and disposal of a complaint filed with the Department or Office shall be as prescribed.

164. Labour Court may decide: (1) If any person engages another in bonded labor, the Labour Court may sentence such person to imprisonment for up to two years or a fine of up to five hundred thousand rupees or both, and may order such person to pay the worker the remuneration, allowances, and facilities, along with twice that amount as compensation. Provided that if any person has taken a worker outside Nepal and made them bonded, the Court shall order that person to also bear the expenses incurred in bringing the worker back to Nepal.

(2) If, due to willful or negligent violation of the provisions relating to occupational safety and health specified in this Act or the Rules framed under this Act, a person dies or is injured, or due to an act or omission, a person contracts an occupational disease resulting in death, or any organ becomes non-functional, or there is an adverse effect on the physical or mental condition of a person, the person committing such act shall be subject to penalty as per prevailing law if any, and if not, the Labour Court may sentence the person to imprisonment for up to two years and also order payment of appropriate compensation to the aggrieved person.

(3) If any offense punishable under this Act is committed by an organized institution, the institution shall be fined, and if imprisonment is also involved for that offense, the executive head of the institution shall be imprisoned. 165. Appeal lies: (1) A person dissatisfied with an order or decision made by the Department or Office under this Act or the Rules framed under this Act may file an appeal in the Labour Court within thirty-five days.

(2) A worker dissatisfied with any decision made by an employer to terminate employment or penalty imposed regarding misconduct may appeal to the Labour Court within thirty-five days from the date of receipt of notice of such decision or penalty.

(3) Notwithstanding anything written in subsection (2), nothing shall be deemed to prevent an appeal according to the provisions for internal appeal in the by-laws of any establishment.

(4) If an appeal is made pursuant to subsection (3), the aggrieved party may appeal to the Labour Court within thirty-five days from the date of receipt of notice of the decision made by the body hearing such appeal, or if no notice of decision on the appeal is received within sixty days of filing the appeal, from that date. 166.

Decision to be implemented: (1) A decision or judgment made by the Labour Court under this Act shall be implemented by the concerned party after such decision or judgment becomes final or after the period for appeal expires. (2) An agreement or decision of a mediator concerning individual or collective claims made bilaterally between a worker or Trade Union and an employer, or in the presence of the Office, or before any other body or officer, shall be implemented in good faith by the concerned party. (3) If the concerned party fails to implement the agreement or decision pursuant to subsection (1) or (2), the other party may submit an application to the Office themselves or through a Trade Union or employers' organization. (4) Upon receipt of an application pursuant to subsection (3), the Office shall send a letter to the concerned employer or worker for the implementation of such agreement, decision, or judgment. (5) Upon receipt of a letter pursuant to subsection (4), the concerned employer or worker shall implement such agreement, decision, or judgment within fifteen days of such letter. Added by the Nepal Acts Amendment Act, 2075. (6) A decision made by the Department, Office, or an officer authorized to decide under this Act or the Rules framed under this Act shall

be implemented by the concerned party. Added by the Nepal Acts Amendment Act, 2075.(7) The Department or Office may take action under this Act or the Rules framed under this Act against a party failing to implement the decision of the Department, Office, or officer pursuant to subsection (6). 167.

Office to cause implementation of decision: (1) If a decision, judgment, or agreement is not implemented under section 166, the concerned party may submit an application to the Office. (2) Upon receipt of an application pursuant to subsection (1), the Office may, in relation to the employer, establishment, or worker required to implement the decision, judgment, or agreement, adopt any or all of the following measures to cause implementation of the decision or judgment: (a) Send a letter to the concerned body or officer to attach immovable property or sell it by auction; (b) Send a letter to freeze bank accounts; (c) Suspend exemptions or facilities receivable under prevailing law or send a letter to withhold them; (d) Suspend the labor license or permit held in the name of the concerned party; (e) Pass any other appropriate order. (3) Upon receipt of a letter from the Office to perform any act under subsection (2), the concerned body shall act accordingly. (4) If the decision or judgment is not implemented within three months of the application under subsection (1), or within fifteen days of completion of the process under subsections (2) and (3), or if it is challenged legally, a complaint may be filed in the Labour Court for penalty under section 168. 168. Penalty for non-implementation of judgment, compromise, or agreement etc.: (1) The Labour Court shall provide notice to the concerned party, specifying a time limit, for the implementation of a judgment on a labor-related matter made by the Labour Court or the Supreme Court. (2) The Labour Court may impose a fine of up to one hundred thousand rupees or imprisonment for up to one year on an employer or worker who fails to implement, or delays or obstructs the implementation of, an order or judgment made by the Labour Court, or a decision made by a mediator, or a consent or agreement made between an employer and a worker under this Act, or an order given by the Office for implementation. Provided that, if the order, judgment, compromise, agreement, or consent is implemented within the time limit specified by the Labour Court, the Labour Court may refrain from imposing such penalty or grant a partial or full remission of the penalty already imposed. Chapter 24 Miscellaneous 169.

Procedure relating to service of notice: (1) The employer shall promptly receive a notice or summons sent by the worker, and the worker shall promptly receive a notice or summons sent by the employer, and provide a receipt thereof. (2) If a notice or summons under subsection (1) cannot be served, it may be sent to the address of the person by courier or registered mail, a copy posted at the workplace, a panchnama prepared in the presence of three witnesses, and information thereof given to the Office; then such notice or summons shall be deemed to have been received by the concerned party. Provided that, in the case of an application or notice submitted by a worker, it need not be posted at the workplace. (3) If any person refuses to receive such a summons or notice, it may be sent to that person via fax, email, or other electronic means of communication. If sent in such manner, it shall be deemed to have been served, unless proved otherwise. (4) In matters where the employer is required to inform collectively, if a notice is posted on the notice board at the workplace and written information thereof is provided to the unions active in the establishment, such information shall be deemed to have been received by all workers. 170. Determination of basic remuneration: (1) The determination of basic remuneration of a worker in time-rated employment shall be as prescribed. Provided that, if not so prescribed, the minimum remuneration prescribed for the worker shall be considered as the basic remuneration. (2) For a worker working on a piece-rate basis, the determination of the rate per piece based on the minimum remuneration prescribed under this Act shall be as prescribed. 171. Special provisions relating to manager and managerial category worker: (1) Notwithstanding anything written elsewhere in this Act, in the case of a managerial category worker performing the functions of an executive head, nothing written in this Act shall be deemed to prevent placing such worker in time-rated employment,

specifying service conditions and facilities, and terminating service. (2) A manager and a managerial category worker shall not be entitled to present collective demands, participate in collective bargaining, or join a strike on behalf of a Trade Union. 172.

Entitlement to remuneration and other facilities: (1) If a worker whose employment has been terminated is reinstated in employment by an order or judgment of the Office, Department, or Labour Court, such worker shall receive from the concerned employer remuneration and other facilities from the date of termination of employment until reinstatement. (2) Nothing written in this Act shall be deemed to prevent judgment being rendered to the effect that, based on the subject matter of the case, instead of reinstatement, the worker shall receive appropriate compensation from the employer in addition to the amount under subsection (1). 173.

Revision of insurance amounts: The Ministry may, upon the recommendation of the Council, by publishing a notice in the Nepal Gazette, increase the amount of medical treatment insurance and accident insurance specified in this Act. 174. Power to delegate: Some or all of the powers vested in the Ministry, Department, or Office under this Act may be delegated to any office or officer for exercise. If powers are so delegated, notice thereof shall be published in the Nepal Gazette. 175.

Protection for acts done in good faith: If any labor inspector, occupational safety and health inspector, or any employee, employer, or worker deployed for inspection work, under this Act or the Rules framed under this Act, in the course of performing their duty, causes loss or damage to any person by any act done or attempted to be done in good faith, no action shall lie against such person. Provided that, in the context of any act done willfully or with malicious intent, such person shall be personally liable. 176.

Special power of the Ministry: Notwithstanding anything written elsewhere in this Act, if it comes to the notice of the Ministry that, except in matters pending before the Labour Court under this Act, an application filed with the Office or Department has remained undecided for a long time causing harassment to the party, or if it appears appropriate for the Ministry to process such application due to the complexity of the subject matter included in the application, nothing written elsewhere in this Act shall be deemed to prevent the Ministry from hearing and deciding such application. A decision made in this manner shall be deemed to be a decision of the original body, and a party dissatisfied with such decision may appeal to the Labour Court. 177.

Labour Coordination Committee: Added by the Nepal Acts Amendment Act, 2075. (1) There shall be a Labour Coordination Committee at the central level, chaired by the Director General of the Department, with members as prescribed. (2) The functions, duties, and powers of the Committee under subsection (1) shall be as prescribed. 178.

Transitional provisions: (1) A worker who was in permanent service at the time of the commencement of this Act shall automatically be deemed to be a worker in regular employment under this Act. (2) A worker who was in employment under contract, wage-based, or any other manner at the time of the commencement of this Act shall enter into an employment agreement under Chapter 3. Nothing written in this Act shall be deemed to affect the adjustment of the provident fund amount and other facilities payable under this Act within three months of the commencement of this Act, against the remuneration and facilities being received at the time of entering into such employment agreement. (3) Nothing mentioned in this Act shall be deemed to adversely affect the service, conditions, and facilities of a worker who, at the time of the commencement of this Act, is receiving facilities superior to those specified in the Act by virtue of prevailing law or a collective agreement. (4) For the purpose of subsection (3), the facilities specified in the Act shall be provided to the specified body, and the remaining facilities shall be adjusted under other headings and provided. (5) If a judgment made by the Office, Labour Court, or other court under the Labour Act, 2048 and the Trade Union Act, 2049 before the commencement of this Act has not been implemented, and an application is made within one year from the date of commencement of this Act, such judgment, decision, or order shall be deemed to have been made under this Act and shall be implemented or caused to be implemented. (6) Until a separate

legal provision is made regarding social security, the Welfare Fund established under section 37 of the Labour Act, 2048 and section 13 of the Bonus Act, 2030 shall continue to operate as before. (7) Until a Court is constituted under this Act, the Court existing at the time of the commencement of this Act shall remain. 179. To be according to this Act: Matters written in this Act and Rules framed under this Act shall be according to this Act and Rules, and in other matters, according to prevailing law. 180.

This Act not to apply: (1) On the following subjects, it shall be as follows: (a) This Act shall not apply in relation to the Nepali Army, Nepal Police, Amended by the Nepal Acts Amendment Act, 2062. Armed Police Force, Nepal, and National Investigation. (b) In the case of civil service, the provisions of the prevailing civil service law shall apply. (2) In the case of services constituted by a special Act and a special economic zone, if service conditions and facilities are already specified in the prevailing Nepal law, such service shall be governed accordingly. (3) If there is no provision in the prevailing Nepal law regarding the remuneration, service conditions, and facilities of any worker, the provisions of this Act shall automatically apply in respect of such worker's remuneration, service conditions, and facilities. (4) While making a decision, order, or judgment that this Act is not applicable to any worker, it shall be necessary to specify under which law the rights and facilities granted by this Act are provided to such worker. (5) If an employer of an establishment to which the Working Journalists Act, 2051 applies enters into an employment agreement under this Act, or if a worker and employer of such establishment agree that the provisions of this Act shall apply, then the provisions of this Act shall also apply to such worker. 181. Guidelines and procedures to be framed and implemented: (1) The Ministry may frame and implement necessary guidelines and procedures for implementing this Act and the Rules framed under this Act. (2) Commodity-level associations or federations of employers and Trade Union associations or federations may formulate and implement a code of good labor practices on labor policy matters. 182. Power to frame Rules: (1) The Government of Nepal may frame necessary Rules for implementing this Act. (2) While framing Rules pursuant to subsection (1), separate Rules may be framed for businesses, services, industries, or the informal sector of a special nature. 183. Repeal and saving: (1) The following Acts are hereby repealed: (a) Labour Act, 2048, Amended by the Nepal Acts Amendment Act, 2075. (b) Industrial Apprentice Training Act, 2039, Amended by the Nepal Acts Amendment Act, 2075. (c) Retirement Fund Act, 2042. (2) Cases being processed under the Acts referred to in subsection (1) shall stand transferred to the Labour Court. (3) Acts done under the Acts referred to in subsection (1) shall be deemed to have been done under this Act.